



Flight PLANS

With domestic traffic increasing by over 12 per cent a year and investment openings worth \$110 billion over the next decade, the Indian aviation industry is raging to grow

By Amarnath K. Menon

- 500 helicopters, twice as many as now, including the new genres of air taxis and air ambulances.
- 1,000 new aircraft, nearly four times the current number, to ferry about 8,00,000 passengers a day.
- 75 modern airports complete with swanky shopping arcades—away from the tarmac side so as to draw even non-travelling buyers.
- Investment opportunities worth \$110 billion, including \$80 billion in new aircraft and \$30 billion in airport infrastructure.

These figures are a snapshot of what civil aviation in India will look like by 2020. Behind the industry's steady and relentless gain in altitude is the burgeoning middle class. As more and more people from this section take to the skies, the number of travellers has

already hit 4.8 million in January and with domestic passenger traffic growing at 12.2 per cent a year, the figure is likely to touch 5.5 million by the end of this year. To serve these increasing numbers, about 35 non-metro airports are being upgraded and modernised. Aircraft and helicopter manufacturers are wooing the seven airline companies and individual buyers. They are also joining hands to set up maintenance, repair and overhaul (MRO) services to help the nascent industry. And as these begin to take deep root, the Indian aviation industry is set to offer support and services with a globally competitive edge.

Not since the opening up of Indian skies to private players six years back has the optimism been so robust. India is already the fourth-largest player behind the US, China and

Japan in terms of domestic passenger volume; the forecasts say that India would be the fastest growing country for air travel for the next 10 years.

India's rosy aviation horizon has led to aviation business players betting big. Global aerospace technology players, including aircraft manufacturers offering products and services, airport infrastructure developers and Indian airline companies, are eyeing huge opportunities as massive investments are made to build and renew airport infrastructure to handle the growing traffic. Budget air carriers that already have 56 per cent of the market are expected to take 65 per cent of it in the next few years. Air India is planning a corporate makeover, having inducted top honchos Anand Mahindra and Harsh Neotia besides ex-IAF chief Fali H.